HOWDEN JOINERY PROPERTIES LIMITED

ANNUAL REPORT AND FINANCIAL STATEMENTS

FOR THE 52 WEEKS ENDED 27 DECEMBER 2014

REGISTERED NUMBER: 5656171

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HOWDEN JOINERY PROPERTIES LIMITED
STRATEGIC REPORT AND DIRECTORS' REPORT

STRATEGIC REPORT

The Company is a wholly owned subsidiary of Howden Joinery Group Plc, and operates as part of the Howden Joinery Group Plc group (the "Group"). The Company's principal activities are providing and managing employees for other Group companies. There have not been any significant changes in the Company's principal activities in the period under review. The directors are not aware, at the date of this report, of any likely major changes in the Company's activities in the next financial period.

The Group manages its operations on a Group basis and therefore prepares a consolidated group report and accounts, including a consolidated strategic report. Pursuant to Section 414(A) (4) of the Companies Act 2006 (Strategic Report and Directors' Report) Regulations 2013, which provides that a group strategic report may give greater emphasis to the matters that are significant to the undertakings included in the consolidation when taken as a whole, the following information in relation to the Company can be found in the Group annual report on the pages listed:

• Fair review of the business	pages 14-19
• Description of the principal risks and uncertainties facing the Group and its subsidiary undertakings	pages 20-21
• Financial and non-financial KPIs	pages 17, 22-27
• Future developments	pages 13, 17
• Information about environmental matters, social, community and human rights issues	pages 22-27
• Description of business model and strategy	pages 2-7, 10-13
• Information in relation to Group employees, including gender statistics, employee involvement and Group policy on the employment of disabled persons	pages 49-54, 61-65

This report is available as part of the Group's Annual Report which is available at http://www.howdenjoinerygroupplc.com/ and which does not form part of this report.

By Order of the Board

Forbes McNaughton – Company Secretary
20 March 2015

DIRECTORS' REPORT

The directors have pleasure in submitting their report and the audited financial statements of the Company for the 52 weeks ended 27th December 2014 (*2013: 52 weeks ended 28 December 2013).*

DIRECTORS
The directors of the Company who served throughout the period, except as noted, were:

M Ingle
C Youell (resigned on 9 May 2014)
Theresa Keating (appointed 20th February 2014)
J McManus
M Robson

No director held any beneficial interest in the shares of the Company at any time during the period.

REGISTERED OFFICE
The company's registered office is 40 Portman Square, London W1H 6LT

DIVIDEND
No dividend has been proposed in respect of the current year. A dividend of £1,335,000 in respect of 2013 was proposed and paid in the current year, as shown in note 14.

EMPLOYEES
The Company had no employees *(2013: none)* during the period and staff costs amounted to nil *(2013: £nil*).

GOING CONCERN
The Company's freehold property acts as security on the Group's asset backed bank facility. The security on this asset could be called upon if the Group were to breach its borrowing facility or covenants.

The Group's latest forecasts and projections have been stress-tested for reasonably possible, adverse variations in trading performance and show that the Group should be able to operate within the terms of its current borrowing facility and covenants for the foreseeable future. On this basis the Directors of the Company believe that the security on the facility could not be called upon.

After making enquiries and taking into consideration the profitability and financial position of the Company, the directors have formed a judgement, at the time of approving the financial statements, that there is a reasonable expectation that the Company has adequate resources to continue in operational existence for the foreseeable future, based on written commitment of financial support from its ultimate parent Company, Howden Joinery Group plc, which is legally binding. For this reason the directors continue to adopt the going concern basis in preparing the financial statements.

POLITICAL CONTRIBUTIONS
The Company did not make any political donations during the period (*2013: £nil).*

AUDITOR
Each of the persons who is a director at the date of approval of this annual report confirms that:

- so far as the director is aware, there is no relevant audit information of which the Company's auditor is unaware; and
- the director has taken all the steps he/she ought to have taken as a director in order to make himself/herself aware of any relevant audit information and to establish that the Company's auditor is aware of that information.

The confirmation is given and should be interpreted in accordance with the provisions of s418 of the Companies Act 2006.

Deloitte LLP have indicated their willingness to be reappointed for another term and will be deemed to be reappointed in accordance with s485 - 488 of the Companies Act 2006.

DIRECTORS' RESPONSIBILITY STATEMENT

The directors are responsible for preparing the Annual Report and the financial statements in accordance with applicable law and regulations.

Company law requires the directors to prepare financial statements for each financial year. Under that law the directors have elected to prepare the financial statements in accordance with United Kingdom Generally Accepted Accounting Practice (United Kingdom Accounting Standards and applicable law). Under company law, the directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the Company and of the profit or loss of the Company for that period. In preparing these financial statements, the directors are required to:

- select suitable accounting policies and then apply them consistently;
- make judgements and accounting estimates that are reasonable and prudent;
- state whether applicable UK accounting standards have been followed; and
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the Company will continue in business.

The directors are responsible for keeping adequate accounting records which are sufficient to show and explain the Company's transactions and disclose with reasonable accuracy at any time the financial position of the Company and enable them to ensure that the financial statements comply with the Companies Act 2006. They are also responsible for safeguarding the assets of the Company and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities.

By Order of the Board

Forbes McNaughton – Company Secretary
20 March 2015

INDEPENDENT AUDITOR'S REPORT TO THE MEMBERS OF HOWDEN JOINERY PROPERTIES LIMITED

We have audited the financial statements of Howden Joinery Properties Limited for the 52 weeks ended 27 December 2014 which comprise the Profit and Loss Account, the Balance Sheet, and the related notes 1 to 16. The financial reporting framework that has been applied in their preparation is applicable law and United Kingdom Accounting Standards (United Kingdom Generally Accepted Accounting Practice).

This report is made solely to the company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the company's members those matters we are required to state to them in an auditor's report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the company and the company's members as a body, for our audit work, for this report, or for the opinions we have formed.

Respective responsibilities of directors and auditor

As explained more fully in the Directors' Responsibilities Statement, the directors are responsible for the preparation of the financial statements and for being satisfied that they give a true and fair view. Our responsibility is to audit and express an opinion on the financial statements in accordance with applicable law and International Standards on Auditing (UK and Ireland). Those standards require us to comply with the Auditing Practices Board's Ethical Standards for Auditors.

Scope of the audit of the financial statements

An audit involves obtaining evidence about the amounts and disclosures in the financial statements sufficient to give reasonable assurance that the financial statements are free from material misstatement, whether caused by fraud or error. This includes an assessment of: whether the accounting policies are appropriate to the company's circumstances and have been consistently applied and adequately disclosed; the reasonableness of significant accounting estimates made by the directors; and the overall presentation of the financial statements. In addition, we read all the financial and non-financial information in the annual report to identify material inconsistencies with the audited financial statements and to identify any information that is apparently materially incorrect based on, or materially inconsistent with, the knowledge acquired by us in the course of performing the audit. If we become aware of any apparent material misstatements or inconsistencies we consider the implications for our report.

Opinion on financial statements

In our opinion the financial statements:

- give a true and fair view of the state of the company's affairs as at 27 December 2014 and of its profit for the 52 weeks then ended;
- have been properly prepared in accordance with United Kingdom Generally Accepted Accounting Practice; and
- have been prepared in accordance with the requirements of the Companies Act 2006.

Opinion on other matter prescribed by the Companies Act 2006

In our opinion the information given in the Strategic Report and the Directors' Report for the financial year for which the financial statements are prepared is consistent with the financial statements.

Matters on which we are required to report by exception

We have nothing to report in respect of the following matters where the Companies Act 2006 requires us to report to you if, in our opinion:

- adequate accounting records have not been kept, or returns adequate for our audit have not been received from branches not visited by us; or
- the financial statements are not in agreement with the accounting records and returns; or
- certain disclosures of directors' remuneration specified by law are not made; or
- we have not received all the information and explanations we require for our audit.

Edward Hanson (Senior statutory auditor)
for and on behalf of Deloitte LLP
Chartered Accountants and Statutory Auditor
London, United Kingdom
20 March 2015

HOWDEN JOINERY PROPERTIES LIMITED
PROFIT AND LOSS ACCOUNT
FOR THE 52 WEEKS ENDED 27 DECEMBER 2014

	Note	52 weeks to 27 Dec 2014 £000	52 weeks to 28 Dec 2013 £000
Rental income		**40,790**	36,248
Cost of sales		**(36,970)**	(33,565)
Gross profit		**3,820**	2,683
Administrative expenses		**(3,133)**	(1,961)
Operating profit		**687**	722
Finance charges	5	**(1)**	(1)
Profit on ordinary activities before taxation		**686**	721
Tax on profit on ordinary activities	6	**(372)**	(283)
Profit for the financial period		**314**	438

The results for the current and prior periods derive from continuing operations.

There are no recognised gains or losses in the current and prior period other than those included in the profit and loss account and therefore no statement of recognised gains and losses has been presented.

HOWDEN JOINERY PROPERTIES LIMITED
BALANCE SHEET AT 27 DECEMBER 2014

	Note	27 December 2014		28 December 2013	
		£000	£000	£000	£000
Fixed assets					
Tangible assets	7		**22,061**		18,931
Current assets					
Debtors	8	**44,756**		34,635	
Current liabilities					
Creditors: amounts falling due within one year	9	**(66,028)**		(51,905)	
Net current liabilities			**(21,272)**		(17,270)
Total assets less current liabilities			**789**		1,661
Provisions for liabilities and charges	10		**(455)**		(306)
Net assets			**334**		1,355
Capital and reserves					
Called up share capital	12		-		-
Profit and loss account	13		**334**		1,355
Shareholders' funds			**334**		1,355

Approved by the Board of Directors, authorised for issue, and signed on their behalf by:

T Keating
Director
20 March 2015

1. ACCOUNTING POLICIES

The accounting policies summarised below have all been applied consistently throughout the current and prior period.

BASIS OF PREPARATION

The financial statements have been prepared under the historical cost convention and in accordance with applicable United Kingdom accounting standards. The financial statements have also been prepared on the going concern basis as discussed in the Directors' Report on page 1.

Under Financial Reporting Standard 1 (revised 1996), the Company is exempt from the requirement to prepare a cash flow statement on the grounds that it is a wholly owned subsidiary undertaking and a consolidated cash flow statement is given in the financial statements of Howden Joinery Group Plc.

The financial statements include the undertakings for the 52 weeks ended 27 December 2014. The comparative period covers the 52 weeks ended 28 December 2013.

RENTAL INCOME

Rental income comprises of income received from a licence permitting Howden Joinery Ltd to occupy properties within the ownership or leasehold of Howden Joinery Properties Ltd, and in respect of one property, the rent received under an operating lease between Howden Joinery Ltd and Howden Joinery Properties Ltd. It also includes management charges received for managing the rentals. Rental income is accued on a time basis by reference to the agreement entered into.

FIXED ASSETS

Fixed assets are stated at cost net of accumulated depreciation and net of any provision for impairment. Depreciation is charged on freehold properties (excluding land values and payments on account, and assets in the course of construction) and long leaseholds at the rate required to write off the cost or valuation of the assets over their estimated useful life of 50 years. Short leaseholds are depreciated over the life of each individual lease.

In addition, accelerated depreciation is provided on those properties in which trading has ceased during the period in order to reduce the value of the relevant properties to the estimated recoverable amount.

TAXATION

UK Corporation tax is provided at amounts expected to be paid or recovered using tax rules and laws that have been enacted or substantially enacted by the balance sheet date.

Deferred taxation is provided on a full provision basis, without discounting, on all timing differences which have arisen but not reversed at the balance sheet date.

Except where otherwise required by accounting standards no timing differences are recognised in respect of:

(a) property revaluation surpluses where there is no commitment to sell the asset; and
(b) gains on sale of assets where those assets have been rolled over into replacement assets.

LEASED ASSETS

Expenditure under operating leases is charged to the profit and loss account on a straight-line basis over the period of the lease.

2. PROFIT ON ORDINARY ACTIVITIES BEFORE TAXATION

Profit on ordinary activities before taxation is stated after charging:

	52 weeks to 27 Dec 2014 £000	52 weeks to 28 Dec 2013 £000
Depreciation on owned assets	**2,065**	1,641
Rentals paid on property	**35,470**	32,307

The analysis of auditor's remuneration is as follows:

	52 weeks to 27 Dec 2014 £000	52 weeks to 28 Dec 2013 £000
Fees payable to the Company's auditor for the audit of the Company's annual accounts	**12**	10
Total audit fees	**12**	10
Tax compliance services	**9**	11
Total non-audit fees	**9**	11

3. STAFF NUMBERS AND COSTS (excluding directors)

The Company had no employees *(2013:none)*, and no staff costs *(2013: £nil)*.

4. REMUNERATION OF DIRECTORS

No director received any emoluments from this Company during the period *(2013: none)*.

5. FINANCE CHARGES

Other finance charges:	52 weeks to 27 Dec 2014 £000	52 weeks to 28 Dec 2013 £000
Interest paid on rent reviews	**1**	1
	1	1

6. TAXATION

	52 weeks to 27 Dec 2014 £000	52 weeks to 28 Dec 2013 £000
Current tax charge for the period	**466**	357
Adjustment in respect of prior periods	**-**	(14)
Total current tax charge	**466**	343
Deferred taxation (note 11) - current period	**(64)**	(39)
- adjustments in respect of prior periods	**(30)**	(21)
Tax charge on profit on ordinary activities	**372**	283

6. TAXATION (Cont'd)

The current corporation tax charge for the period is higher than the standard rate of corporation tax of 21.5% *(2013:23.25%)* for the following reasons:

	52 weeks to 27 Dec 2014 £000	52 weeks to 28 Dec 2013 £000
Profit on ordinary activities before taxation for the period	**686**	721
Profit on ordinary activities before taxation for the period multiplied by the standard rate of corporation tax in the UK of 21.5% *(2013:23.25%)*	**148**	167
Effects of:		
Expenditure not deductible for tax purposes	**56**	-
Non qualifying depreciation	**429**	368
Movement on short term timing differences	**19**	(8)
Transfer pricing adjustment on non trading loans	**(186)**	(170)
Prior period adjustment	**-**	(14)
Current tax charge for the period	**466**	343

7. TANGIBLE FIXED ASSETS

	Land & freehold properties £000	Leasehold properties under 50 years £000	Assets under construction £000	Total £000
Cost or valuation				
At 28 December 2013	926	27,003	-	27,929
Additions	-	5,206	78	5,284
Disposals	-	(120)	-	(120)
At 27 December 2014	**926**	**32,089**	**78**	**33,093**
Depreciation				
At 28 December 2013	(191)	(8,807)	-	(8,998)
Charge for the year	(9)	(2,056)	-	(2,065)
Disposals		31		31
At 27 December 2014	**(200)**	**(10,832)**	**-**	**(11,032)**
Net book value				
At 28 December 2013	735	18,196	-	18,931
At 27 December 2014	**726**	**21,257**	**78**	**22,061**

Land & freehold properties at cost includes land of £514,000 (*2013:£514,000*) on which depreciation is not charged.

8. DEBTORS

	27 Dec 2014	28 Dec 2013
Amounts falling due within one year:	£000	£000
Trade debtors	**276**	40
Amounts owed by parent and fellow subsidiary undertakings	**34,281**	25,064
Prepayments and accrued income	**8,021**	7,478
VAT	**2,178**	2,053
	44,756	34,635

9. CREDITORS

	27 Dec 2014	28 Dec 2013
Amounts falling due within one year:	£000	£000
Trade creditors	**125**	1
Amounts owed to parent and fellow subsidiary undertakings	**58,402**	45,970
Corporation tax	**466**	357
Accruals and deferred income	**7,035**	5,577
	66,028	51,905

10. PROVISIONS FOR LIABILITIES AND CHARGES

Movements during the period were as follows:

	Deferred Taxation	Property provision	Total
	£000	£000	£000
At 28 December 2013	198	108	306
Charged	-	708	708
Utilised	(94)	(430)	(430)
Released	-	(35)	(129)
At 27 December 2014	**104**	**351**	**455**

The property provision covers onerous leases on any non-trading leased properties. The provision is based on the period until the end of the lease, or until the Company considers that it can cover the shortfall by subletting, assigning or surrendering the lease.

11. DEFERRED TAXATION

An analysis of the deferred tax liability provided in the accounts is as follows:

	27 Dec 2014	28 Dec 2013
	£000	£000
Accelerated capital allowances	**174**	219
Other timing differences	**(70)**	(21)
	104	198
Provision at the start of the period	**198**	258
Credit to the profit & loss account during the period	**(64)**	(39)
Adjustment in respect of prior periods	**(30)**	(21)
Provision at the end of the period	**104**	198

There is no unprovided deferred tax.

12. AUTHORISED AND ISSUED CALLED UP SHARE CAPITAL

	27 Dec 2014	28 Dec 2013
	£	£
100 authorised ordinary shares of £1 each	**100**	100
1 allotted, called up issued and fully paid ordinary share of £1	**1**	1

13. RECONCILIATION OF MOVEMENTS IN EQUITY SHAREHOLDERS FUNDS

Movements in share capital and reserves during the period were as follows:

	Share capital account	Profit and loss account	Shareholders' funds
	£000	£000	£000
At 28 December 2013	-	1,355	1,355
Dividend paid	-	(1,335)	(1,335)
Profit for the period	-	314	314
At 27 December 2014	**-**	**334**	**334**

14 DIVIDENDS

Amounts recognised as distributions to shareholders in the period.

	27 Dec 2014
	£000
2013 dividend, proposed and paid in 2014	**1,335**

15. FINANCIAL COMMITMENTS

At 27 December 2014 the annual commitments under non-cancellable operating leases for land and buildings were as set out below:

	27 Dec 2014	28 Dec 2013
	£000	£000
Operating leases which expire:		
Within one year	**1,419**	1,170
Between two and five years	**14,564**	16,247
After five years	**16,333**	16,074
	32,316	33,491

There were no such commitments for other assets.

16. ULTIMATE PARENT COMPANY AND RELATED PARTY DISCLOSURES

The Company's immediate parent company is Howden Joinery Limited and the ultimate parent company and controlling entity is Howden Joinery Group Plc, both incorporated in the United Kingdom and registered in England and Wales.

The largest and smallest Group in which the results of the Company are consolidated is that headed by Howden Joinery Group Plc. The consolidated accounts of this Group are available to the public and can be obtained from the Registrar of Companies, Companies Registration Office, Crown Way, Maindy, Cardiff, CF14 3UZ.

The Company is exempt under FRS 8 from the requirement to disclose transactions within the Group headed by Howden Joinery Group Plc on the grounds that it is a wholly owned subsidiary.

There were no other related party transactions.